

Class 11

Free and Coerced Labor

Part III — Mobilizing People and Expanding Opportunity

The American Economy — draft course materials (proposal under discussion)

The point of today's class

The most basic economic right is ownership of your own labor. Slavery violated that right — it generated measured output for enslavers while destroying welfare and opportunity for the enslaved — and it clarifies why free labor is both a moral achievement and a growth institution.

Why it matters

- ▶ What do you own? A phone, maybe a car — and, if you are free, **your own labor**.
- ▶ Three documents, one question:
 - ▶ a worker's paycheck: payment for labor *services*
 - ▶ an 1850s plantation ledger listing human beings as property
 - ▶ the text of the 13th Amendment
- ▶ Free labor feels like a natural default. It is not. It is an **institution** — and before 1865 it did not apply to everyone.
- ▶ This is an economics lecture, not a general history lecture: self-ownership, coercion, output vs. welfare, and the allocation of talent.

Today

1. Part III and the opportunity ladder
2. Self-ownership, labor markets, and the outside option
3. Cotton, output, and GDP vs. welfare
4. Was slavery necessary for American growth?
5. Opportunity costs and long-run institutions
6. Emancipation as an institutional revolution
7. Modern echo: exclusion wastes talent

Part III: the opportunity ladder

- ▶ Part II asked how America built a growth machine. Part III asks: **who was allowed to participate in it?**
- ▶ A recurring device — each class adds one rung:

Rung		Class
8	rise	the American Dream and mobility
7	move	cities, housing, and place
6	belong	race, migration, and opportunity
5	choose	women, work, and family
4	arrive	immigration and assimilation
3	learn	education and human capital
2	bargain	labor markets and worker power
1	own your labor	free and coerced labor — today

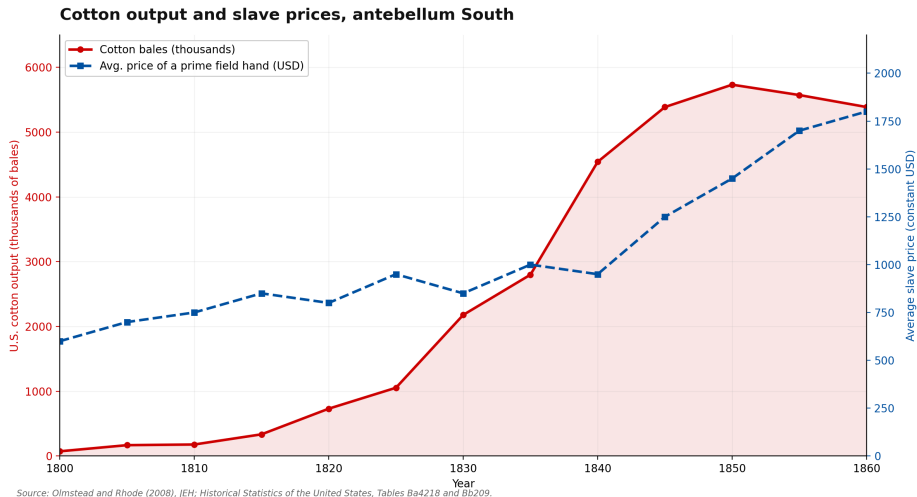
- ▶ The bottom rung comes first: every other rung assumes you own the labor you are climbing with.

Free labor vs. coerced labor

Free labor	Coerced labor
Worker owns labor	Owner controls labor
Worker can quit	Worker cannot leave
Wage bargain	Forced extraction
Occupational choice	Assigned work
Family and mobility rights	Family and mobility controlled
Incentive to invest in skills	Skill investment distorted
Labor income to worker	Surplus captured by owner

- ▶ The crucial row: **bargaining power starts with the ability to say no** — the *outside option*.
- ▶ Modern echoes of weak exit (noncompetes, licensing, employer-tied visas, prison labor) show why economists care about exit options — but they are not chattel slavery.

Cotton output and slave prices, 1800–1860

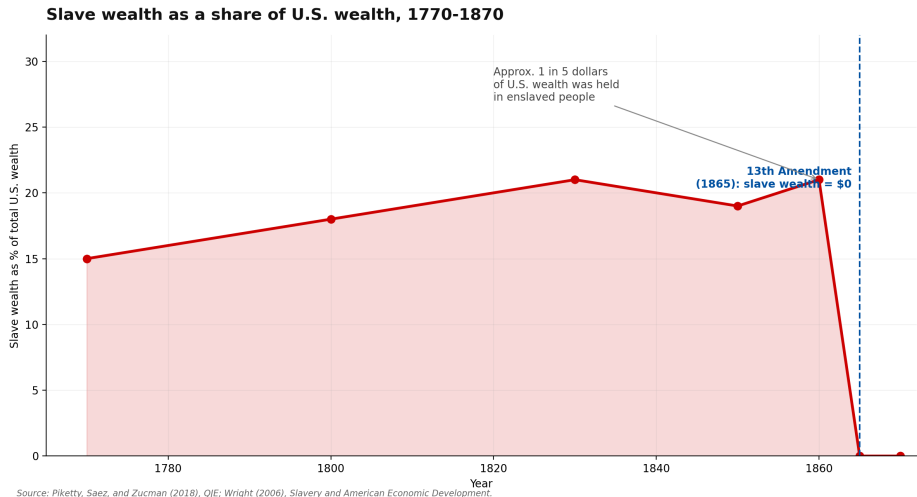


Source: Olmstead and Rhode (2008), *Journal of Economic History* / NBER.

Technology under bad institutions

- ▶ Olmstead and Rhode: cotton breeding and the gin raised productivity *inside* a coercive system — and the gains were capitalized into the price of enslaved people.
- ▶ Under free labor, those gains might have flowed to wages, migration, mechanization, or family farms; in the slave South they raised the value of enslaved labor and expanded the slave economy.
- ▶ Class 8's lesson in its most painful form: innovation raises productivity, but **institutions determine who benefits**.
- ▶ Key line: *technology is not morally self-executing*.

Wealth held in enslaved people, share of U.S. wealth



Source: Wright (2006); Piketty, Saez, and Zucman. Engerman: slave capital rose from \$291M (1805) to over \$3B (1860).

GDP vs. welfare under coercion

- ▶ Thought experiment: a person is forced to produce \$100 of cotton and receives \$10 of subsistence. GDP records the output. What does welfare record?

GDP sees	Welfare also asks
Cotton output	Freedom
Market value	Coercion
Land value	Family separation
Owner wealth	Violence
Exports	Lost education
Productivity	Dignity, autonomy, health

- ▶ The course's clearest concrete example of GDP $\neq$ welfare.

Was slavery necessary for American growth? Three claims

Claim	How to treat it
Profitable for enslavers	True and important
Central to the southern economy	True
Necessary for national prosperity	Much more doubtful

- ▶ Wright: cotton mattered, but cotton did not require slavery — after abolition, cotton prices eventually returned to prewar levels.
- ▶ Reject both slogans: “slavery built America” and “slavery had nothing to do with the American economy.”
- ▶ American prosperity is better understood through the expansion of free labor, education, migration, invention, markets, and institutions.

The opportunity costs of slavery — and its long shadow

Slavery encouraged	Slavery discouraged
Land expansion for cotton	Broad education
Elite wealth concentration	Immigration
Coercive supervision	Urbanization
Political protection of slavery	Transportation investment
Racial hierarchy	Free labor mobility
Extractive institutions	Diversified industry

- ▶ Engerman–Sokoloff: factor endowments → inequality → institutions. Plantation crops bred unequal, extractive institutions; small farms bred inclusive ones. The U.S. had both.
- ▶ Nunn: slave use is negatively correlated with later development — the long-run effects are real, but the mechanisms are debated.

Emancipation as an institutional revolution

- ▶ 13th Amendment (ratified December 1865): “Neither slavery nor involuntary servitude, except as a punishment for crime. . . , shall exist within the United States.”

Before emancipation	After emancipation
Property rights in persons	Self-ownership
Forced labor	Labor contracts
Owner controls mobility	Freedpeople seek mobility
Owner controls family	Family autonomy
Owner controls education	Demand for schooling
Owner captures surplus	Wage and share contracts

- ▶ Not equality overnight: Black Codes, sharecropping, violence, and segregation limited freedom — but ownership → self-ownership was fundamental.
- ▶ Freedpeople’s first demands — schools, family, land, wages, migration, churches — are exactly the rungs of the opportunity ladder.

Modern echo: exclusion wastes talent

- ▶ Hsieh, Hurst, Jones, and Klenow: improved allocation of talent among women and Black Americans explains **20–40% of U.S. growth** in output per person, 1960–2010.

Best use of talent	Restricted use
Engineering	Field labor
Medicine	Domestic service
Business owner	Excluded from credit
Teaching	Denied schooling

- ▶ Growth rises when people choose occupations by talent, not by caste, race, gender, legal status, or coercion.
- ▶ Key line: coercion and discrimination are not only unjust — they are economically wasteful.

Discussion

A plantation produces \$1,000,000 in cotton. Enslaved workers receive \$100,000 in subsistence; the enslaver keeps the surplus. GDP rises by the value of the cotton. What happens to welfare? List what GDP counts, what it misses, who receives income, who bears costs, and which long-run investments are discouraged.

Read before next class

- ▶ Wright (2022), “Slavery and the Rise of the Nineteenth-Century American Economy,” *JEP* — separates “slavery mattered” from “slavery was necessary.”
- ▶ Hsieh, Hurst, Jones, and Klenow (2019), “The Allocation of Talent and U.S. Economic Growth” (skim the introduction).